FI-001 — Expense Reimbursement and Receipt Compliance

Document control

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Title	Expense Reimbursement and Receipt Compliance
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Owner	Director, Finance Operations
Approver	Chief Financial Officer
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Audience	All workforce members, Finance, managers
Classification	Internal

1. Purpose

This policy defines which business expenses ABC CORP reimburses, what documentation is required, how expenses are submitted and approved, and how the company treats non-compliant submissions.

The purpose of the policy is twofold: to ensure employees are reimbursed promptly for legitimate business expenses, and to ensure that reimbursed expenses are documented, approved, and recorded consistently for accounting and tax purposes.

2. Scope

In scope: business travel costs, meals, mileage, professional development, client entertainment, home office equipment for approved remote arrangements, and small purchases under the direct-purchase threshold.

Out of scope: corporate card transactions (FI-003), purchase orders and requisitions (FI-002), and travel booking arrangements (FI-004). These have separate procedures even when they relate to the same trip or expense.

3. General rules

Employees are expected to spend ABC CORP funds as they would their own — prudently, and with an awareness that every expense is a cost to the business.

Reimbursable expenses are those that are ordinary, necessary, and directly related to ABC CORP business.

Not reimbursable expenses include:

- Personal entertainment
- Alcohol except where explicitly permitted under client entertainment guidelines and pre-approved by a Vice President or above
- Commuting costs between home and the employee's regular work location
- Traffic fines and parking tickets
- Personal clothing except where required for safety and approved by Facilities
- Hotel minibar and in-room entertainment
- Airline upgrades above economy class unless pre-approved per FI-004
- Spouse or family travel costs

4. Documentation requirements

Receipts are required for every expense of $50 or more.

For expenses below $50, a receipt is not required, but the expense must still be entered in the expense system with a description and business purpose. The expense system enforces this by category.

What counts as an acceptable receipt:

- Itemized vendor receipt showing date, amount, vendor, and what was purchased
- Digital receipt or confirmation email that shows the same information
- Credit card statement alone is not an acceptable receipt — it shows the charge but not what was purchased

If a receipt is lost, the employee submits a missing receipt declaration through the expense system. Declarations above $75 require manager approval, and declarations above $250 require director approval. Repeated missing receipt declarations by the same employee are reviewed by Finance Operations.

5. Submission process

1. Employee incurs the expense.
2. Employee submits the expense in the expense system within 30 days of the expense date.
3. Employee attaches receipts per Section 4, categorizes the expense, and states the business purpose.
4. Submission routes to the manager for approval.
5. Manager approves or returns within five business days.
6. Approved expenses route to Finance for payment.
7. Payment is made in the next payment cycle after approval — typically the second Friday following approval.

Expenses submitted more than 90 days after the expense date require director approval and may not be reimbursable in some jurisdictions due to tax treatment.

6. Manager approval responsibilities

Managers approve expenses for business necessity and policy compliance. Managers should confirm:

- The expense is related to ABC CORP business
- The amount is reasonable for the category
- The documentation is sufficient
- The expense does not violate Section 3

Managers do not need to audit every receipt but are accountable for the expenses they approve. Finance audits a sample of expenses each quarter, and findings are reported to the manager who approved.

7. Expense categories and limits

Category	Limit	Notes
Airfare	Economy class	Business class requires Director approval per FI-004
Hotel	$250/night in standard markets, $350/night in high-cost markets	High-cost market list maintained by Finance
Meals — individual	$75/day	Reasonable and documented
Meals — client entertainment	$150/person	Prior approval from Vice President or above
Mileage	Current IRS rate	Personal vehicle used for ABC CORP business
Ground transport	Reasonable	Rideshare, taxi, public transit, rental car
Professional development	$2,500/year	Manager approval; conference fees and travel
Home office equipment	$500 one-time	For approved remote arrangements

Limits are maximums, not entitlements. Exceeding a limit requires prior approval or a documented business justification at submission.

8. Mileage reimbursement

Mileage is reimbursed at the current IRS standard rate for business use of a personal vehicle. Mileage from home to the employee's regular work location is commuting and is not reimbursable. Mileage to alternate work locations, client sites, and airports is reimbursable.

The expense system calculates mileage using mapping distance. Employees may enter actual mileage if they used a different route for a documented reason.

9. Non-compliant submissions

Expenses that violate this policy are:

- Returned to the employee with a note explaining the deficiency
- Held if the deficiency cannot be corrected
- Denied if the expense is not reimbursable

Denied expenses are not reimbursed. Employees are not personally liable for expenses that were incurred for legitimate business purposes but are denied under this policy due to category restrictions — but they are personally liable for expenses incurred in violation of policy after a prior warning.

10. Audit

Finance audits a quarterly sample of approved expenses. Findings are reported to managers and aggregated to senior leadership. Repeated or material findings trigger a fuller review and, where necessary, referral to HR.

11. Records retention

Expense records — including receipts, approvals, and payment records — are retained for seven years from the date of the expense, in line with ABC CORP's financial record retention obligations.

12. Related documents

- FI-002 Purchase Requisition and Approval Workflow
- FI-003 Corporate Card Administration and Disputes
- FI-004 Travel Booking, Authorization, and Duty of Care
- RC-001 Records Retention, Legal Hold, and Disposal

13. Revision history

Version	Date	Change
3.0	02/18/2023	Category limits revised
4.0	03-14-2024	Expense system migration
4.2	March 14, 2025	Missing receipt thresholds added; audit cadence defined